

Vinod Kumar Agarwal v. State of U.P. And Others

Allahabad High Court · Division Bench · 10 July 2012 · WRIT - C No. 24772 of 2012 · **Writ petition disposed of as infructuous following withdrawal of the recovery and issuance of a final assessment order; systemic compliance directions issued to and accepted by U.P. Power Corporation Ltd.**

HEADNOTE

No recovery citation under the U.P. Government Electricity Undertaking (Recovery of Dues) Act, 1958 may be issued for alleged theft/unauthorised use of electricity unless and until a final assessment order has first been passed under Section 126(3) of the Electricity Act, 2003 (following the mandatory procedure of Clause 6.8 of the U.P. Electricity Supply Code, 2005) after affording the consumer a reasonable opportunity of hearing on the provisional assessment, whether or not the consumer files objections — a systemic direction issued directly to the Chairman & Managing Director of U.P. Power Corporation Ltd. given the repeated, widespread pattern of premature recovery citations reaching the High Court from across Uttar Pradesh without any final assessment having been made, and the Corporation's counsel's repeated inability to obtain instructions in such matters.

HOLDING-UNITS

HOLDING-UNIT · EA2003::126(3)

A recovery citation under the U.P. Government Electricity Undertaking (Recovery of Dues) Act, 1958 for theft/unauthorised-use dues cannot be issued unless a final assessment order has first been passed under s.126(3) of the Electricity Act, 2003 (following Clause 6.8 of the Supply Code), after giving the consumer a reasonable opportunity of hearing on the provisional assessment (whether or not objections were filed)

QUESTION

Given a pattern of recovery citations being issued under the 1958 Recovery of Dues Act across Uttar Pradesh without any final assessment order having first been passed under s.126 of the Electricity Act, 2003, what systemic compliance is required of U.P. Power Corporation Ltd. and its Executive Engineers before issuing such citations?

HOLDING

The Court directed the Managing Director of U.P. Power Corporation Ltd. to issue strict instructions to all distribution corporations and Executive Engineers to comply with s.126 of the Electricity Act, 2003, and not to issue any recovery certificate unless and until a final assessment has been made after giving the consumer opportunity to object under s.126(1) — with s.126(3) requiring, even where no objection is filed, a recorded finding that the provisional assessment was duly served, followed by a reasoned final assessment order; where objections are filed, they must be considered before the final assessment and recovery certificate issue. The Court directed withdrawal of recoveries already issued without a final assessment, to be reissued only after a proper final assessment, and directed a compliance report to the Court. The Chairman & Managing Director's compliance affidavit (order dated 30.6.2012) accordingly directed all Corporations/Executive Engineers to follow s.126 and Clause 6.8 of the U.P. Electricity Supply Code, 2005, withdraw non-compliant recoveries forthwith (to be re-finalised within three months), and warned that non-compliant officers would face departmental action; the Court accepted this compliance and expected future adherence. In the underlying case, the petitioner's own provisional assessment was withdrawn, a final assessment order passed after considering his objections, and the connection reconnected, rendering the writ petition infructuous, with the petitioner permitted an appeal under s.127 and directed to complete the interim 50% deposit (adjusted for amounts already recovered), and with a direction that recovery-collection charges not be borne by the State where recoveries are withdrawn for Corporation non-compliance. ¶ paras 2-13

LIMITING FACTS

The petitioner, running a book-binding business on a commercial connection, was assessed as if for industrial use without his objections being decided, and a recovery citation was issued without a prior final s.126 assessment; a related theft case against him had been compounded and closed by police final report; the Court noted a recurring pattern of similar cases reaching it from across the State, with Corporation counsel repeatedly unable to obtain instructions.

A systemic, State-wide compliance directive that no recovery citation under the 1958 Recovery of Dues Act may issue without a prior final s.126 assessment order (per Clause 6.8 of the Supply Code) following an opportunity of hearing — implemented via a compliance order from U.P. Power Corporation's Chairman & Managing Director binding on all Executive Engineers, reinforcing this corpus's procedural-fairness cluster around theft/unauthorised-use assessment (cf. SCJ-126's Clause 5.6/malice-in-law ruling). ¶ paras 2-4

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.